

AC4408

Financial Reporting 2

Summer 2025 Examination
Paper 1 · 1.5 hours · Question 1 compulsory, then EITHER Question 2 or Question 3 · Total 100 Marks

Module	AC4408 — Financial Reporting 2
Session	Summer 2025
Structure	Question 1 (60 marks, compulsory, two parts) plus either Question 2 or Question 3 (each 40 marks, two parts)
This scheme covers	All three questions in full — Question 1, Question 2, <i>and</i> Question 3 — so you can study both routes through the paper, not just the one you'd pick on the day

Own-figure rule. If you carry an early error into later parts of a question but apply the right method consistently from that point on, you still pick up the method marks for those later steps. This applies throughout the consolidation workings in Question 1 and the lease schedule in Question 2.

Question 1 (Compulsory)

Consolidated Statement of Financial Position & IAS 28

Part 1**50 Marks**

The following are the summary Statements of Financial Position of Boole Ltd ("Boole") and Turing Ltd ("Turing") as at 31 December 2024, together with:

1. Boole Ltd acquired 600,000 shares in Turing Ltd for €800,000 on 1 January 2024, at which date Turing Ltd had a balance on retained earnings of €50,000.
2. Included in Boole Ltd's loans receivable is one of €300,000 to Turing Ltd.
3. Boole Ltd supplied goods to Turing Ltd to the value of €200,000, for which it has not yet been paid. These goods cost Boole Ltd €140,000, and Turing Ltd still had half of them in inventory at 31 December 2024.
4. At the date of acquisition, the property, plant and equipment of Turing Ltd had a fair value which exceeded the carrying value by €40,000. At that date, the remaining life of the property, plant and equipment was four years.
5. The fair value of non-controlling interests at 1 January 2024 was €160,000. Goodwill is to be accounted for using the Fair Value method.
6. Goodwill has not been impaired since the acquisition date.

Required: Showing the relevant workings, prepare the Consolidated Statement of Financial Position as at 31 December 2024 for the Boole Group.

FULL MODEL ANSWER

Step 1 — Group structure. Boole holds 600,000 of Turing's 800,000 €1 shares — a 75% holding, acquired 1 January 2024. Turing is a subsidiary; the remaining 25% is the non-controlling interest (NCI). One year has passed between acquisition and this reporting date.

Step 2a — Eliminate the intra-group loan. The €300,000 loan sits as a receivable in Boole's books and a payable in Turing's — from the group's perspective, the group can't owe money to itself, so both sides are cancelled.

Dr Loans payable €300,000 / Cr Loans receivable €300,000

Step 2b — Eliminate the intra-group trade debt. Turing owes Boole €200,000 for goods supplied. Same logic — eliminate the receivable against the payable.

Dr Trade payables €200,000 / Cr Trade receivables €200,000

Step 2c — Strip out the unrealised profit sitting in Turing's stock. Boole sold the goods on at €200,000 for stock that cost it €140,000 — a profit of €60,000. Half of that stock is still sitting unsold in Turing's warehouse at year end, so half of that profit hasn't actually been earned by the group yet, even though Boole booked it. Take it out of both the seller's reserves and the group's closing inventory.

Unrealised profit = (€200,000 – €140,000) × ½ = €30,000

Dr Retained earnings (Boole, the seller) €30,000 / Cr Inventory €30,000

Step 2d — Revalue Turing's PPE to fair value at acquisition, and catch up the extra depreciation. IFRS 3 requires a subsidiary's net assets to go into the acquisition calculation at fair value, not book value. Turing's own books never picked up the €40,000 uplift, so the group adds it on top — and since a year has now gone by on a 4-year remaining life, a year's worth of extra depreciation on that uplift has to come off too.

Depreciation on the uplift = €40,000 / 4 years = €10,000 for the year

FULL MODEL ANSWER

Step 3 — Net assets of Turing, at acquisition and at the reporting date.

This single working feeds both the goodwill calculation and the NCI calculation below — get it right once and everything downstream falls into place.

€'000	At acquisition	At reporting date
Ordinary share capital	800	800
Retained earnings	50	350
Fair value uplift on PPE	40	40
Less: additional depreciation on uplift	–	(10)
Net assets of Turing	890	1,180

Worth checking. The increase between the two columns ($€1,180,000 - €890,000 = €290,000$) is Turing's post-acquisition profit — that's the figure that gets split 75:25 between the group and the NCI throughout the rest of this working.

Goodwill (Fair Value method)

€'000	
Cost of investment	800
Fair value of NCI at acquisition	160
	960
Less: net assets of Turing at acquisition	(890)
Goodwill at acquisition	70
Less: impairment to date	–
Goodwill at reporting date	70

Why the Fair Value method matters here. Because NCI is brought in at its own fair value (€160,000) rather than just its proportionate share of net assets, the €70,000 of goodwill calculated here belongs to the *whole* group — both the parent's 75% and the NCI's 25% — not just to Boole's shareholders. That's the detail examiners use to distinguish this method from the proportion of net assets method in Question 1 Part 2-style questions on other papers.

Non-controlling interest at 31 December 2024

€'000	
Fair value of NCI at acquisition	160.0
NCI share of post-acquisition increase ($25\% \times €290,000$)	72.5
NCI at reporting date	232.5

FULL MODEL ANSWER

Consolidated retained earnings

€'000	
Boole Ltd, per its own SOFP	900.0
Less: unrealised profit on intra-group stock	(30.0)
	870.0
Group share of Turing's post-acquisition increase ($75\% \times \text{€}290,000$)	217.5
Consolidated retained earnings	1,087.5

A quick sense-check before moving to the full SOFP. Only Boole's own retained earnings figure gets adjusted for the stock profit — Boole was the seller, so it's Boole's reserves that were overstated. Turing's reserves are untouched by this adjustment; they only feed in via the post-acquisition share above.

Consolidated Statement of Financial Position as at 31 December 2024

€'000	Workings	Total
Non-Current Assets		
Tangible assets	$600 + 900 + 40 - 10$	1,530
Goodwill	—	70
Loans receivable	$500 - 300$	200
		1,800
Current Assets		
Inventory	$440 + 420 - 30$	830
Trade receivables	$400 + 460 - 200$	660
Cash	$360 + 120$	480
		1,970
Total Assets		3,770

FULL MODEL ANSWER

Consolidated Statement of Financial Position as at 31 December 2024 (continued)

€'000	Workings	Total
Equity		
Ordinary share capital (Boole only)	—	1,600.0
Retained earnings	see above	1,087.5
		2,687.5
Non-controlling interest	see above	232.5
Total Equity		2,920.0
Non-Current Liabilities		
Long-term loans	400 – 300	100.0
Current Liabilities		
Trade and other payables	600 + 350 – 200	750.0
Total Equity and Liabilities		3,770.0

The check that matters most. Total Assets of €3,770,000 exactly equals Total Equity and Liabilities of €3,770,000. A consolidated SOFP that doesn't balance means one of the adjustments above is wrong or missing — don't move on until it ties out.

Mark Allocation — Part 1 (50 marks)

Tier	Marks	What separates this tier
Top band	42–50	Correct goodwill, NCI and consolidated retained earnings figures, all four adjustments (loan, trade debt, stock profit, PPE fair value/depreciation) correctly applied, and a fully balancing SOFP.
Good	32–41	Goodwill and NCI correct or near-correct; one adjustment missing or misapplied (most commonly the PPE depreciation catch-up), but the SOFP still balances or is a small margin off.
Partial	18–31	Group structure and at least the intra-group loan/debt eliminations identified; goodwill or NCI method confused (e.g. proportion of net assets used instead of fair value), or more than one adjustment missing.
Limited	0–17	Little more than reproducing the individual SOFPs, or a fundamental misunderstanding of consolidation mechanics (e.g. adding 100% of Turing's share capital, or omitting NCI entirely).

Part 2**10 Marks**

Describe what is meant by "significant influence" under IAS 28 and how this differs from "significant control".

FULL MODEL ANSWER

Significant influence, defined. IAS 28 defines significant influence as the power to participate in the financial and operating policy decisions of an investee, without having control or joint control over those policies. It sits deliberately below control on the spectrum of involvement — enough to shape decisions from the inside, not enough to dictate them.

The 20% rebuttable presumption. If an investor holds, directly or indirectly, 20% or more of the voting power of an investee, significant influence is presumed to exist unless it can be clearly demonstrated otherwise. The presumption runs the other way below 20%: significant influence is presumed *not* to exist unless it can be clearly shown that such influence is present.

Evidence of significant influence in practice. IAS 28 lists several indicators, any one of which usually points to significant influence existing regardless of the percentage shareholding: representation on the board of directors (or equivalent governing body); participation in policy-making processes, including decisions about dividends; material transactions between the investor and the investee; interchange of managerial personnel; or the provision of essential technical information.

How this differs from control. Control, per IFRS 10, is the power to direct the relevant activities of an investee so as to affect the investor's own returns from its involvement with that investee — it requires all three of power over the investee, exposure to variable returns, and the ability to use that power to affect those returns. Significant influence is a materially weaker relationship: the investor can take part in the conversation and shape outcomes at the margin, but it cannot unilaterally direct the investee's key activities, and it does not consolidate the investee line by line. An investee under significant influence is an *associate*, accounted for using the equity method (a single line in the SOFP: cost plus the investor's share of post-acquisition profits); an investee under control is a *subsidiary*, fully consolidated.

A useful way to hold the distinction. Control lets you set the agenda; significant influence only lets you have a seat at the table when the agenda is set. The 20%/50% shareholding thresholds are a starting presumption, not the test itself — the substance of the relationship (board seats, transaction volume, technical dependency) always governs over the percentage alone.

Mark Allocation — Part 2 (10 marks)

Tier	Marks	What separates this tier
Top band	8–10	Correct IAS 28 definition of significant influence, the 20% rebuttable presumption stated accurately in both directions, at least two practical indicators, and a clear, substantive contrast with control (power/returns/consolidation treatment).
Good	5–7	Correct definition and presumption threshold, but the contrast with control is thin (e.g. just states 'control is more' without explaining the equity method vs consolidation distinction).
Partial	2–4	Recognises significant influence relates to a shareholding below control but definition is vague, or confuses the equity method with full consolidation.
Limited	0–1	No meaningful attempt, or significant influence and control are treated as the same thing.

Question 1 Total: 60 Marks

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Question 2

Answer EITHER Question 2 or Question 3

Part A

25 Marks

In recent years, there has been increased resistance to the harmonisation of international accounting standards.

Required: Critically discuss the need for a global set of accounting standards.

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FULL MODEL ANSWER

Framing the debate. The push toward a single global accounting language has been driven almost entirely by the spread of IFRS since the early 2000s, with the EU's 2005 mandate for listed companies acting as the single biggest catalyst. The case for harmonisation rests on comparability and efficiency; the resistance to it rests on sovereignty, cost, and the practical reality that "one size" rarely fits every economy equally well. A strong answer weighs both sides rather than defaulting to "harmonisation is good."

The case for a global set of standards

Comparability. Investors comparing a German manufacturer against a Japanese competitor, or a Brazilian bank against an Irish one, need financial statements built on the same recognition and measurement rules to make that comparison meaningful. Without a shared standard, differences in reported profit can reflect differences in accounting policy rather than differences in underlying performance — precisely the problem Daimler-Benz exposed in 1993, when the same year's results swung from a €375m profit under German GAAP to a €1.1bn loss under US GAAP, almost entirely because of how hidden reserves were released.

Lower cost for multinational groups. A group operating across twenty jurisdictions under twenty different local GAAPs faces a real compliance burden — separate consolidation adjustments, separate audit sign-offs, separate staff training. A single global standard collapses most of that into one rulebook, freeing resources for activities that actually create value rather than translating between accounting regimes.

Deeper, cheaper capital markets. Comparable, reliable financial statements lower the information risk foreign investors face, which in turn lowers the cost of capital for companies seeking cross-border funding. This is one of the IASB's stated objectives for IFRS and is arguably the strongest economic argument for harmonisation: it is not just a reporting convenience, it changes the price at which capital is available.

FULL MODEL ANSWER

The resistance, and why it persists

Loss of sovereignty and fit with local law. Accounting standards do not sit in isolation — they interact with company law, tax law, and dividend rules that are set nationally. A standard designed for a common-law, capital-markets-driven system (the tradition IFRS grew out of) can sit awkwardly against a code-law jurisdiction where accounting has historically been more closely tied to distributable profit and tax computation. Countries understandably resist ceding control over a system embedded this deeply in their own legal architecture.

Implementation cost falls hardest on smaller preparers. A large listed multinational can absorb the cost of IFRS conversion; a mid-sized private company often cannot. This is exactly why most jurisdictions, Ireland included, run a two-tier system — full IFRS for public-interest entities, a simplified local standard (FRS 102/105 in the Irish/UK case) for everyone else — rather than mandating full IFRS across the board. That two-tier compromise is itself evidence that full global harmonisation remains impractical for the majority of companies.

The US has never fully adopted IFRS. Despite two decades of convergence work between the IASB and the FASB, and despite genuinely joint standards such as IFRS 15/ASC 606 on revenue, the US still reports under its own GAAP. If the world's largest capital market continues to run its own standard, "global" harmonisation is, in practice, harmonisation of everyone except the single most influential jurisdiction — a significant limitation on how far the comparability benefit actually extends.

One rulebook, uneven enforcement. Even where IFRS is formally adopted, enforcement, audit quality, and the depth of local regulatory scrutiny vary hugely between jurisdictions. Identical wording on paper does not guarantee identical application in practice — a standard is only as harmonised as its enforcement.

Verdict. The direction of travel is toward convergence rather than complete harmonisation — most large economies have adopted or converged toward IFRS, but genuine global uniformity remains unlikely while the US, China, and a long tail of smaller economies each retain standards shaped by their own legal and economic context. A "hybrid" world — a global core standard for listed/public-interest entities, national standards for everyone else — is the realistic middle ground, and is roughly where the system has actually settled.

Mark Allocation — Part A (25 marks)

Tier	Marks	What separates this tier
Top band	20–25	Balanced discussion covering at least three benefits (comparability, cost, cost of capital) and three drawbacks (sovereignty, implementation cost, uneven enforcement/US non-adoption), with a clear own-view conclusion, ideally with a concrete example such as Daimler-Benz.
Good	14–19	Covers most of the above but is one-sided (heavy on benefits, light on drawbacks, or vice versa) or lacks a worked example/concrete illustration.
Partial	8–13	Identifies harmonisation is generally 'a good idea' with some benefits listed, but drawbacks are superficial or generic ('it's expensive') without explaining why resistance actually exists.
Limited	0–7	Describes what IFRS is without engaging with the harmonisation debate itself, or answer is a bare list with no critical discussion.

Part B**15 Marks**

Solstice entered into a contract for the right to use a machine under the following terms:

Asset cost €250,000

Payments under lease €60,000, annual payments in advance

Number of lease payments 5

Interest rate 10.05% per annum

Lease taken out on 1 January 2022

First payment 1 January 2022

Depreciation method used for machine 20% straight-line method per annum

The cost of the asset approximates the present value of the minimum lease payments.

Solstice prepares its financial statements to 31 December each year.

Required: Prepare the journal entries for the years ended 31 December 2022, 31 December 2023, and 31 December 2024.

FULL MODEL ANSWER

Reading the terms. Payments *in advance* means each €60,000 instalment lands on the first day of its own annual period — so the very first payment (1 January 2022) hits the liability immediately, before any interest has had a chance to accrue on it. That's the detail that separates this from an in-arrears lease: interest each year is charged only on the balance left *after* that year's payment has already gone out.

Initial recognition, 1 January 2022. Since the asset's cost already approximates the present value of the minimum lease payments, both the right-of-use asset and the lease liability are recognised at €250,000 on day one.

Dr Right-of-use asset €250,000 / Cr Lease liability €250,000

Lease liability amortisation schedule

Year	Opening balance	Payment (1 Jan)	Balance after payment	Interest at 10.05%	Closing balance
2022	250,000	(60,000)	190,000	19,095	209,095
2023	209,095	(60,000)	149,095	14,984	164,079
2024	164,079	(60,000)	104,079	10,460	114,539

Worth checking. Each "balance after payment" column is exactly €60,000 lower than the prior year's closing balance — the payment always comes off the balance *before* that year's interest is calculated, which is the whole mechanical difference from an in-arrears schedule.

Depreciation

Straight-line at 20% per annum on the initial €250,000 cost. The lease term (5 years) matches the depreciation policy exactly, so a full year's charge of €50,000 is taken in each of 2022, 2023 and 2024, with no need to time-apportion — the lease and the asset both commence on 1 January 2022.

Annual depreciation = €250,000 × 20% = €50,000

FULL MODEL ANSWER

Journal entries

Year ended 31 December 2022

	Dr €	Cr €
1 Jan 2022 — Initial recognition		
Right-of-use asset	250,000	
Lease liability		250,000
1 Jan 2022 — First payment (in advance)		
Lease liability	60,000	
Cash		60,000
31 Dec 2022 — Interest for the year		
Finance cost (P&L)	19,095	
Lease liability		19,095
31 Dec 2022 — Depreciation for the year		
Depreciation expense (P&L)	50,000	
Accumulated depreciation — ROU asset		50,000

Year ended 31 December 2023

	Dr €	Cr €
1 Jan 2023 — Second payment (in advance)		
Lease liability	60,000	
Cash		60,000
31 Dec 2023 — Interest for the year		
Finance cost (P&L)	14,984	
Lease liability		14,984
31 Dec 2023 — Depreciation for the year		
Depreciation expense (P&L)	50,000	
Accumulated depreciation — ROU asset		50,000

Year ended 31 December 2024

	Dr €	Cr €
1 Jan 2024 — Third payment (in advance)		
Lease liability	60,000	
Cash		60,000
31 Dec 2024 — Interest for the year		
Finance cost (P&L)	10,460	
Lease liability		10,460
31 Dec 2024 — Depreciation for the year		
Depreciation expense (P&L)	50,000	
Accumulated depreciation — ROU asset		50,000

SOFP split, if asked for. At 31 December 2024 the lease liability stands at €114,539. The next twelve months' payment (€60,000, due 1 January 2025) less the interest that will accrue on the reduced balance during 2025 is the current portion; the remainder is non-current. This wasn't asked for here, but it's the natural next step examiners sometimes tack on.

Mark Allocation — Part B (15 marks)

Tier	Marks	What separates this tier
Top band	13–15	Correct initial recognition, correctly recognises that payments in advance reduce the liability before interest is charged for that year, all three years' interest and depreciation figures correct, and full double-entry journals for each of the three years.
Good	9–12	Correct initial recognition and depreciation throughout; interest treated as in-arrears rather than in-advance (i.e. calculated on the pre-payment balance), leading to consistently wrong — but methodically applied — interest figures.
Partial	5–8	Right-of-use asset and liability correctly recognised at €250,000, but the amortisation schedule breaks down after year one, or depreciation is omitted.
Limited	0–4	Lease not recognised on-balance-sheet at all (i.e. treated as an operating lease expense), or no coherent attempt at a liability schedule.

Question 2 Total: 40 Marks

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Question 3

Answer EITHER Question 2 or Question 3

Part A

25 Marks

The Corporate Sustainability Reporting Directive (CSRD) entered into force on the 5th of January 2023. The directive presents new rules which will ensure that investors and other stakeholders have access to the information they need to assess the impact of companies on people and the environment. Additionally, it provides information to investors to assess financial risks and opportunities arising from climate change and other sustainability issues.

Required: Critically discuss the practical implications of CSRD for reporting organisations.

FULL MODEL ANSWER

What CSRD actually changes. CSRD replaces the older Non-Financial Reporting Directive and pulls sustainability reporting into the same league as financial reporting — mandatory, standardised (via the European Sustainability Reporting Standards), and subject to external assurance. It applies to a far wider population of companies than its predecessor, phased in over several years, and the "practical implications" question is really asking how far this reaches into a company's actual operating infrastructure, not just its annual report.

The practical implications, worked through

A much wider net of data to collect. Reporting under CSRD means going well beyond the financial ledger — Scope 1, 2 and (in many cases) Scope 3 emissions, workforce data, biodiversity impacts, and supply chain due diligence all now need to be captured, in most cases from systems that were never built for the purpose. For a manufacturing group with hundreds of suppliers, tracing Scope 3 emissions credibly is a multi-year data project in its own right, not a reporting-season task.

Double materiality forces a genuinely new kind of judgement. CSRD requires companies to assess materiality from two directions at once: the impact the company has on people and the environment ("impact materiality"), and the financial risks and opportunities that sustainability issues pose back to the company ("financial materiality"). This is a more demanding exercise than the single-direction materiality judgement finance teams are used to, and it typically needs input from operations, HR, and risk functions that have never previously fed into the annual report.

Mandatory assurance changes the stakes. Sustainability disclosures now require external assurance (limited assurance initially, moving toward reasonable assurance over time) — the same direction financial statement audits have gone, but starting from a much lower baseline of data maturity. Companies that treated ESG reporting as a marketing exercise now need audit trails, internal controls, and board-level sign-off comparable to what supports the financial statements.

Integration with the financial statements, not a bolt-on report. CSRD disclosures sit within the management report alongside the financial statements, in a structured, tagged digital format (via the European Single Electronic Format). That pushes the sustainability report out of marketing or CSR teams' hands and into a process that has to run on the same timetable, and with comparable rigour, as year-end close.

FULL MODEL ANSWER

Cost and resourcing pressure, particularly for mid-sized companies.

Large listed groups can absorb a new reporting workstream; a company just crossing the CSRD size thresholds often cannot without hiring specialist sustainability accountants or engaging consultants. The compliance cost is real and front-loaded — systems and processes need to be built before the first report is due, not alongside it.

Genuine strategic upside, not just a compliance cost. The double-materiality exercise, done properly, surfaces climate and social risks (supply chain disruption, transition risk on carbon-intensive assets, workforce retention) that were previously invisible to the finance function. Some companies find the process itself valuable, independent of the reporting obligation — it's a structured way of asking "what could actually hurt us here" that many organisations had never formally done.

Comparability is improving, but slowly. Because CSRD mandates a common set of European reporting standards rather than leaving companies to choose their own framework (as under the old voluntary GRI/SASB landscape), disclosures are gradually becoming genuinely comparable across companies and sectors — but this is a multi-year transition, and early-adopting companies are still finding their sustainability disclosures are more internally consistent than they are comparable to peers who haven't yet reported under the full standard.

Verdict. The practical implications of CSRD are substantial and go well beyond producing a longer annual report: new data infrastructure, a new materiality methodology, external assurance, and tighter integration with the financial reporting timetable all have to be built, largely from scratch, by companies that in many cases have never had to think about sustainability data with this level of rigour. The compliance burden is real, but so is the strategic information it forces organisations to generate about their own risk exposure.

Mark Allocation — Part A (25 marks)

Tier	Marks	What separates this tier
Top band	20–25	Covers at least four distinct practical implications in depth (e.g. data collection, double materiality, mandatory assurance, integration with financial reporting, cost/resourcing) with a critical, not purely descriptive, discussion and a clear conclusion weighing burden against benefit.
Good	14–19	Covers three or more implications clearly but the discussion stays largely descriptive rather than critical, or omits double materiality/mandatory assurance (the two most commonly missed points).
Partial	8–13	General awareness that CSRD increases disclosure requirements, but implications are generic ('more reporting is needed') without engaging with data, assurance, or materiality specifically.
Limited	0–7	Describes what CSRD is without addressing practical implications for organisations at all.

Part B**15 Marks**

Ireland is host to some of the world's most research-intensive industries.

Required: Describe the criteria which must be met in order to capitalise an intangible asset under IAS 38 and what costs may be capitalised.

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FULL MODEL ANSWER

The starting point: does it even meet the definition of an intangible asset?

Before the recognition criteria are even considered, IAS 38 requires the item to be a non-monetary asset without physical substance that is *identifiable* — either separable (capable of being sold, transferred, licensed or rented on its own) or arising from contractual or other legal rights. An internally generated customer list or brand, for instance, fails this test and can never be capitalised, however valuable it is commercially.

The three recognition criteria (all three must be met)

Criterion	What it requires
1. Identifiability	Separable from the entity, or arising from contractual/legal rights (see above).
2. Control	The entity has the power to obtain the future economic benefits flowing from the asset, and can restrict others' access to those benefits — this usually flows from an enforceable legal right.
3. Future economic benefits	It must be probable that the expected future economic benefits attributable to the asset will flow to the entity, <i>and</i> the cost of the asset can be measured reliably.

Where this matters most for research-intensive companies. Research and development spend is where these criteria bite hardest in practice, and it's almost certainly the reason this question is framed around Ireland's research-intensive sectors (pharma, medtech, software).

Research phase — always expensed. Expenditure on obtaining new knowledge, searching for alternative materials/products/processes, or evaluating alternatives is, by definition, too uncertain to meet the future-economic-benefits criterion. IAS 38 does not permit any judgement call here: all research expenditure is recognised as an expense in profit or loss in the period it is incurred, with no option to carry it forward.

Development phase — capitalised only if all six additional criteria are met. Development is the application of research findings to a plan for producing new or substantially improved products, processes or systems, prior to commercial production. Capitalisation is mandatory (not a policy choice) once all six of the following can be demonstrated: (1) technical feasibility of completing the asset for use or sale; (2) intention to complete the asset and use or sell it; (3) ability to use or sell the asset; (4) the asset will generate probable future economic benefits (e.g. an identifiable market exists, or it will be useful internally); (5) availability of adequate technical, financial and other resources to complete development; and (6) the ability to measure the development expenditure reliably. If any one of the six is not met, the expenditure must be expensed — there is no partial capitalisation.

What costs can be included once capitalisation begins. Only expenditure incurred from the date the criteria are first satisfied onward — costs incurred before that date cannot be capitalised retrospectively. Capitalisable costs comprise: costs of materials and services consumed; costs of employee benefits for staff directly engaged in generating the asset; fees to register a legal right (e.g. a patent); and amortisation of any other patents/licences used directly in generating the asset. Directly attributable overheads (an allocated, reasonable and consistent share of items such as depreciation on equipment used in the development work, or insurance and rent for the facility used) may also be included. Selling, administrative and other general overheads, identified inefficiencies and initial operating losses, and training costs for staff to operate the asset are specifically excluded, even if incurred during the development phase.

What can never be capitalised, regardless of the phase. Internally generated goodwill, brands, mastheads, publishing titles, and customer lists are explicitly prohibited from capitalisation under IAS 38, because their cost cannot be distinguished from the cost of developing the business as a whole. The same applies to start-up costs, training costs, advertising and promotional expenditure, and relocation or re-organisation costs — all expensed as incurred, however research-intensive the underlying business is.

The examiner's favourite trap. A company that becomes confident of a project's success partway through the year can only capitalise expenditure incurred *from that point forward* — the earlier months of spend, incurred before the six development criteria were demonstrably met, must be expensed and cannot be reclassified later, however successful the project turns out to be.

Mark Allocation — Part B (15 marks)

Tier	Marks	What separates this tier
Top band	13–15	States the three recognition criteria and the identifiability test correctly, distinguishes research (always expensed) from development (capitalised only if all six criteria met), lists all six development criteria, and correctly identifies both capitalisable costs and the specific exclusions (internally generated brands/goodwill, training, start-up costs).
Good	9–12	Correctly separates research from development and states most of the six development criteria, but is incomplete on which specific costs may/may not be capitalised.
Partial	5–8	General awareness that development costs 'can sometimes' be capitalised, without correctly stating the specific criteria, or confuses research and development treatment.
Limited	0–4	No meaningful distinction between research and development, or asserts all R&D spend can be capitalised.

Question 3 Total: 40 Marks

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